

All eyes, understandably, are on how the succession will play out and who the new Chairman will be. “A proper and seamless alignment with Tata Trusts is most critical. To that extent, an amicable relationship must prevail between them and Tata Sons,” says Shriram Subramanian, Founder and Managing Director of InGovern Research Services, a corporate governance advisory firm. He maintains that Chandrasekaran’s exit at the end of

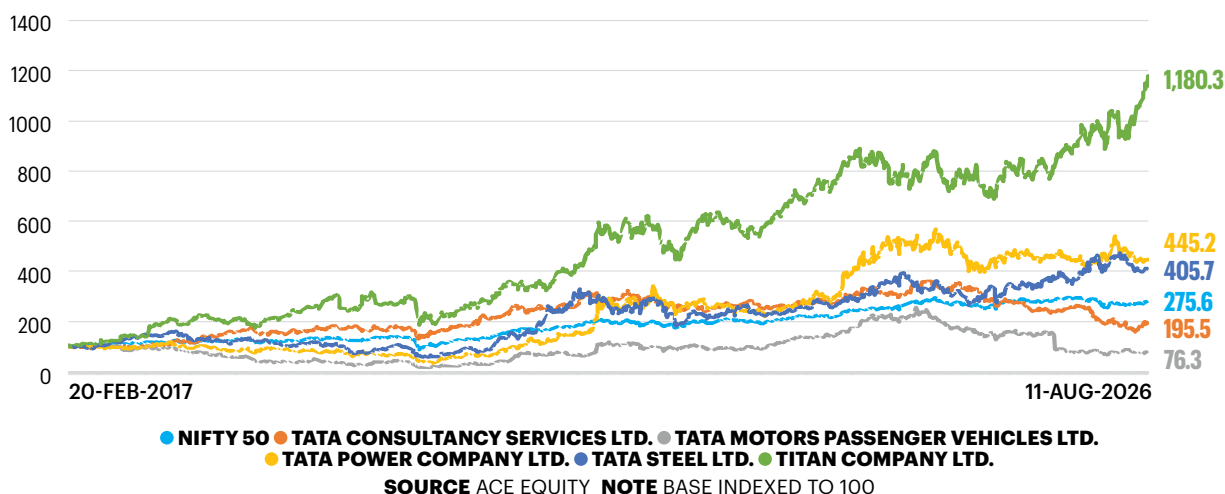
healthy share of the electric vehicle (EV) market, growth in Tata Consumer Products, and Titan becoming an even larger entity. “It must be understood that the external environment for Chandrasekaran became extremely challenging and he still managed to grow various businesses,” says Kavil Ramachandran, a former Professor at the Indian School of Business and a long-time tracker of the group. “The priority for

enormity and complexity of the group, time is of the essence.

According to Swapnil Kothari, Managing Partner, S. Kothari & Co, the new Chairman must address the issues that affect the perception of the group. “The message that all is well with corporate governance at the group must be conveyed to restore investor faith,” he says. Then, underperforming segments of the business would also need to be dealt with. “That must be done with a

THE TITAN

- How major Tata group stocks fared compared to the benchmark Nifty50 index, since February 2017, when N. Chandrasekaran took office as chairman of Tata Sons



his current tenure without seeking reappointment was unexpected.

How the incoming chairman steers the huge losses at Air India and pilots the way forward for Tata Digital (also in the red) will be closely watched.

Then, there is the challenge of cash-guzzlers like semiconductors, for instance. Chandrasekaran’s tenure was marked by Tata Steel making large buy-outs to formulate an India-specific strategy, Tata Motors getting a

the successor is to reassure all stakeholders that things are in control,” he adds.

Who moves into the top job now is hard to guess, and a host of names (including Tata Steel’s T.V. Narendran) are doing the rounds. Sources indicate that Tata Sons too will get in new board members, citing Bhaskar Bhat, Titan’s ex-boss and Yezdi Nagporewallah, KPMG India’s CEO, as potential contenders. By all counts, the process to decide all this will begin soon. Given the

ruthless bottom-line endeavour as both management skills and investor money are at stake,” explains Kothari.

Managing succession has been a task at many large Indian companies, especially the ones that are family-owned and promoter-led. In the case of the Tata Group, Kothari adds, the successor “has big shoes to fill and must do so with aplomb.” **BT**

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